
ECONOMICS

Paper 4 A Level Data Response and Essays

Practice Paper 2026

2 hours

(Hard Level)

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer **three** questions in total:
 - Section A: answer Question 1.
 - Section B: answer **one** question.
 - Section C: answer **one** question.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is 60.
- The number of marks for each question or part question is shown in brackets [].

Section A

Answer all parts of Question 1.

1 Global Value Chains and Smartphone Production

The modern smartphone is a striking example of production through global value chains (GVCs). A flagship handset retailing for \$999 in the United States may contain components from more than 40 countries. Research suggests that, of every \$999 of retail revenue, only around \$8 is captured by assembly workers in China, while approximately \$283 is retained by the brand owner as profit. The remainder is divided among component suppliers, distributors, and tax authorities.

The global smartphone industry is heavily concentrated. The top three firms — Samsung, Apple, and Xiaomi — together account for around 53% of global unit sales. The four largest contract manufacturers (including Foxconn) assemble over 70% of the world's smartphones. By contrast, the upstream market for the rare-earth elements used in smartphone magnets and screens is even more concentrated: a single country, China, supplies approximately 60% of the world's mined rare earths and processes around 85% of global refined output.

Vietnam, India, and Bangladesh have all expanded their participation in GVCs over the past decade. In Vietnam, the value of high-technology exports rose from \$44 billion in 2015 to \$135 billion in 2023. India's "Production Linked Incentive" scheme has offered manufacturers cash incentives of 4–6% of incremental sales of mobile phones produced domestically. Bangladesh, meanwhile, has remained dominated by garment production, which accounts for 84% of its merchandise exports.

The benefits of GVC participation for low-income countries (LICs) are real but uneven. Vietnam's real GDP per capita more than doubled between 2010 and 2022. However, a significant share of the value added in GVCs is captured by firms based in high-income countries that own intellectual property, brands, and design capabilities. Critics argue that LICs risk being "locked in" to low value-added stages of production. In addition, the COVID-19 pandemic and recent geopolitical tensions have exposed the fragility of long supply chains, prompting calls for "re-shoring" and "friend-shoring" of production back to high-income economies.

Table 1.1: Value distribution of a \$999 smartphone (approximate)

Stage of value chain	Value captured (\$)	Share (%)
Brand owner profit (HQ economy)	283	28.3
Components — high-tech (Japan, S. Korea, Taiwan)	171	17.1
Components — other (various)	108	10.8
Distribution & retail margin	120	12.0
Indirect taxes	94	9.4
Research & development	67	6.7
Assembly labour (China/Vietnam)	8	0.8
Other (logistics, marketing, etc.)	148	14.9
Total	999	100.0

Sources: World Bank "World Development Report: Trading for Development", 2020; OECD-WTO Trade in Value-Added Database, 2023; UNCTAD Technology and Innovation Report, 2023; Counterpoint Research, 2024

(a) Explain the significance of the terms of trade index for a country. [3]

(b) Explain one possible benefit of trade liberalisation and one possible drawback of trade liberalisation. [4]

(c) Describe how the market structure for branded smartphones is likely to differ from the market structure for the supply of rare-earth elements. **[6]**

(d) Use the article to evaluate the impact of participation in global value chains on economic development in low-income countries. **[7]**

Section B

Answer one question.

EITHER

2 In many oligopolistic industries, prices appear to remain stable for long periods even when costs change.

Evaluate, with the help of diagram(s), the extent to which the kinked demand curve model accurately predicts the behaviour of firms in oligopoly. **[20]**

OR

3 Healthcare markets are widely regarded as suffering from significant information failure.

Assess the extent to which information failure justifies government intervention in the market for healthcare. **[20]**

Section C

Answer one question.

EITHER

4 Evaluate the view that supply-side policies are more effective than demand-side policies in promoting long-term economic growth. **[20]**

OR

5 Discuss whether indicators of economic development such as the Human Development Index (HDI) are more useful than GDP per capita in measuring the standard of living in a country. **[20]**